

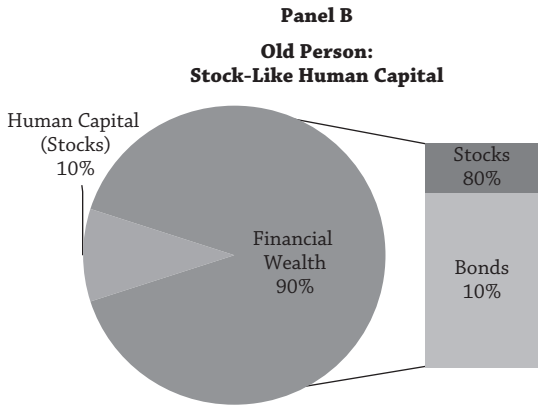


Figure 5.4 (continued)

Figure 5.4, Panel A shows this balance sheet in a pie chart. Although the fraction of equity in her total wealth portfolio is 80%, her financial portfolio contains only bonds. Her stock-like human capital crowds out stocks in her financial portfolio. A more detailed analysis would derive these figures using the techniques of section 2. We’re going to take these as given and focus on what happens when this person ages.

When this person is old, she needs to substitute stocks in her financial portfolio for the lost stock-like human capital. The balance sheet:

Old Person	
Human Capital (Stocks)	\$ 100,000
Financial Wealth: Stocks	\$ 800,000
Financial Wealth: Bonds	\$ 100,000
Total	\$1,000,000
Equity Fraction of Total Wealth	80%
Equity Fraction of Financial Wealth	89%

The corresponding pie chart is in Panel B of Figure 5.4. The investor holds a large fraction of her financial portfolio, $8/(1 + 8) = 89\%$, in equities when old compared to the 0% position in equities when she was young. In both cases, her overall equity allocation is $8/10 = 80\%$ of combined human capital and financial wealth. Thus, a person with stock-like human capital tends to hold more equity as she ages.

So, a person with stock-like labor income, like a stockbroker, should do the exact opposite of the one hundred minus your age rule. It seems that for the average reader of this book working in asset management, with labor income